

Treasuries

2026 Mid-Year Outlook

- Money markets price an earlier and more aggressive Fed hiking path than our forecast, though with labor market data potentially suggesting policy may not be restrictive and term premium normalizing, this justifies an upward sloping OIS curve
- Global central bank tightening combined with unattractive Treasury valuations compared to other DM government bonds suggest Treasury yields should be anchored at higher levels, and could rise further from here. We project 2- and 10-year yields will rise to 4.20% and 4.70%, respectively, at YE26
- We remain short 10-year Treasuries versus Bunds, and prefer flatteners over outright duration shorts: enter 10s/30s flatteners, as a soft-bearish trade with relative value
- Given a large funding gap that emerges in FY27 and beyond, we expect Treasury to remove the “at least” from its forward guidance in August, to prepare for a multi-quarter series of coupon increases commencing in February 2027...
- ...However, the administration's focus on lowering long-end yields raises the likelihood that Treasury may delay changing the forward guidance, and therefore increases the risk that coupon auction size increases may be pushed later into 2027
- We expect foreign official demand to remain muted and concentrated at the short end. Given more attractive local valuations versus Treasuries, we expect weak foreign private demand, and reduce our 2026 foreign demand forecast from \$500bn to \$450bn
- We lower our bank demand forecast from \$275bn to \$150bn, as demand is likely to remain muted against a backdrop of stronger loan growth, and unattractive valuations

Market views

The days are getting longer and the weather is getting warmer, which means the summer is approaching, as is midyear. This is a natural point for those of us in research to turn introspective and take stock of the themes published in our *2026 Outlook* just before Thanksgiving. This self-reflection seems even more personal this year: just before Thanksgiving, your friendly neighborhood Treasury strategist sustained an injury that required surgery, weeks of immobilization, and months of physical therapy to regain mobility and strength, culminating in a final surgical clearance just this week that will allow for a full return to more normal activities in the coming months.

There are parallels to be drawn in the Treasury market: after months of being buffeted by fears of the AI doom loop, private credit contagion, and the Middle East conflict, yields are sitting back firmly entrenched in the 4-5% range that has held for the better part of the last 4 years. With that in mind, we will spend the following pages reassessing our views and frameworks as we enter 2H26. To quickly review, in our *2026 Outlook*, we argued that given a resilient US economy and less restrictive monetary policy, the Fed would deliver fewer cuts than markets expected, and Treasury yields would rise somewhat, with the intermediate sector underperforming along the curve.

Treasuries have put in a dramatic performance over the last six months, with the curve bearishly flattening and front-end yields rising to their highest levels in over a year (**Figure 1**). This has clearly been a global theme, as central banks have pivoted hawkishly in response to the energy supply shock emanating from the Middle East. The lone exception is Japan, which is, of course, an island unto itself, attempting to normalize policy rates back to more

neutral levels amid pushback from the Takaichi government (**Figure 2**). Interestingly, though the US is a net energy exporter and the impact of the war has been felt less here than in Europe and the UK, Treasuries have underperformed the rest of the DM, with yields rising 15-60bp YTD, and medium-term policy expectations rising more than 80bp. What's been responsible for this move?

Figure 1: Yields have risen 15-60bp YTD and the curve has flattened...

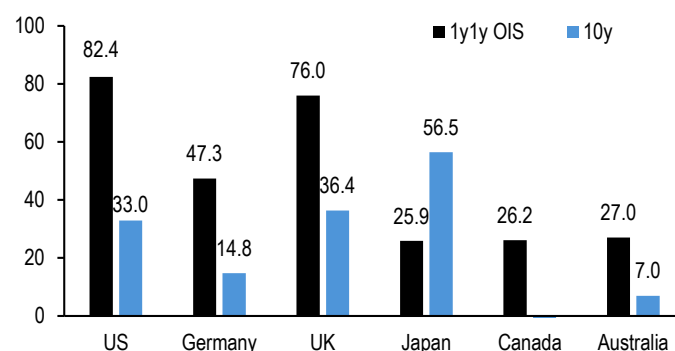
Latest values along YTD changes and ranges for on-the-run Treasuries; % unless otherwise indicated

Maturity	YTD chg					
	Close	(bp)	YTD min	YTD max	YTD avg	%
2y	4.082	61.4	3.378	4.161	3.744	91%
3y	4.131	60.6	3.380	4.211	3.782	91%
5y	4.208	49.9	3.513	4.329	3.910	90%
7y	4.338	41.6	3.717	4.499	4.094	90%
10y	4.482	33.0	3.961	4.668	4.293	89%
20y	4.979	20.4	4.569	5.199	4.867	77%
30y	4.973	14.3	4.632	5.180	4.890	77%

Source: J.P. Morgan

Figure 2: ...and the US has underperformed other DM government bond markets amid a resilient economic picture

YTD changes in developed market 1y1y OIS and 30-year government bond yields; %



Source: J.P. Morgan

We can attempt to attribute the moves in Treasury yields to determine whether they align with shifts in fundamentals. We make one small change to our existing fair-value model. For the past year, we have had a dummy variable in our framework to capture trade policy uncertainty: this variable has been active since President Trump's "Liberation Day" announcement in April 2025 (see [US Treasury Market Daily](#), 6/10/25 for more details on model changes). This variable indicates that the non-traditional approach to trade policy has increased the fair value of 10-year yields and also steepened the curve. However, we believe that policy uncertainty has been somewhat attenuated since the Supreme Court struck down the IEEPA tariffs on February 26. As a result, we adjust this variable so that it is active only between April 2, 2025 and February 26, 2026, and is zero at all other times (**Figure 3**). This variable has the right sign—indicating that policy uncertainty marginally increased the fair value of 10-year yields over most of 2025 and early-2026, and, as we discuss below, had a steepening impact on the curve as well.

This attribution table makes two important points. **First**, the move in 10-year yields has been entirely driven by the massive hawkish repricing of policy expectations. **Second**, this rise in yields is less than would be implied by the rise in 1y1y OIS rates, and 10-year yields now appear 20+bp low after controlling for these fundamental drivers. Interestingly, much of this outperformance relative to our model has occurred since late-April, coinciding with the hawkish repricing after the FOMC meeting, suggesting 10-year yields should have risen 10-15bp more over the last month than they did. This also coincides with a more dovish shift from Treasury, as its long-standing forward guidance was unchanged in May, despite expectations to the contrary. As we discuss below, maintaining this guidance increases the risk that Treasury's next round of increases to coupon auction sizes is pushed further into 2027. Thus, it's possible this guidance has helped to anchor yields at lower levels than would be implied by the shift in Fed expectations.

Figure 3: The sharp hawkish repricing of Fed policy expectations has driven the rise in 10-year yields YTD, but our model implies yields are 20+bp too low

Attribution analysis of 10-year Treasury yield changes 12/31/25-6/12/26*

Variable	Current value	YTD Chg	Coeff.	T-stat	Expected chg; bp
Intercept			5.92	8.8	
1y1y OIS rate; %	3.96	0.86	0.598	86.8	51
JPM US FRI; % pts	92.5	-0.1	-0.02	-3.3	0
5y5y TIPS breakevens; %	2.03	-0.03	0.242	4.6	-1
Fed B/S as share of US economy	21.0	-0.1	-0.094	-31.2	1
Tariff dummy variable	0.0	-1.0	0.041	2.3	-4
Expected change from all factors; bp					47
Actual chg; bp					36
Residual on 31-Dec-25					-13
Residual on 12-Jun-26					-24

* Regression from 12/31/20-12/31/25, R-squared = 97.9%, SE = 16.0bp

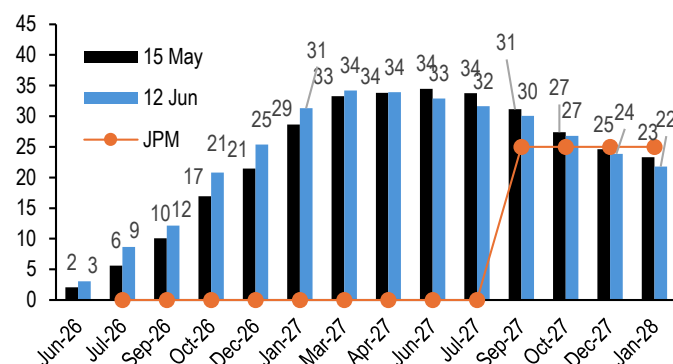
** Tariff dummy equals 1 between 4/2/25 and 2/26/26, and is 0 for all other dates

Source: Federal Reserve, US Treasury, J.P. Morgan

As we look ahead, OIS forwards are pricing in a full hike by January, and approximately 35bp of tightening by midyear, both earlier and more aggressive than the single hike we have forecast for 3Q27 (**Figure 4**). Despite this gap between market pricing and our forecast, we do not think it will close soon. Fundamentally, with the unemployment rate stable for the last year, and real GDP averaging nearly 2.5% over the same period, there is a legitimate question whether the current stance of monetary policy is restrictive, justifying an upward slope to the money market curve. Furthermore, term premium (using the New York Fed's ACM model or other empirical measures) has risen substantially from its nadir in the post-GFC and COVID era, and is now in line with average levels that prevailed in the decade prior to the GFC, supported by a smaller Fed balance sheet as well as weakening foreign official demand for Treasuries (see [Treasuries 2026 Outlook](#), 11/25/25). **With term premium at more normalized levels, this also justifies an upward slope to the OIS curve.**

Figure 4: Markets are pricing in an earlier and more aggressive series of hikes than we have forecast...

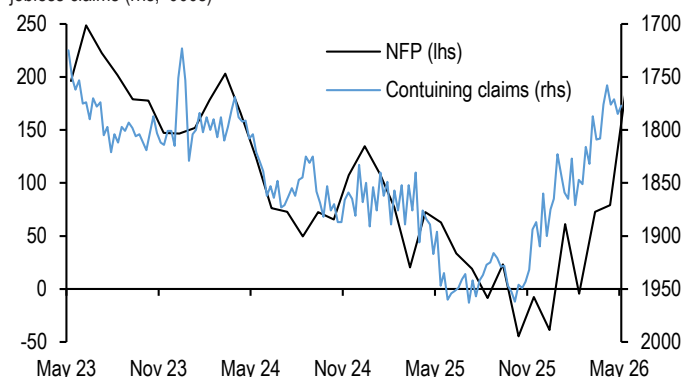
Cumulative change in Fed policy expected by FOMC meeting date OIS; bp



Source: J.P. Morgan

Figure 5: ...but given the sharp improvement in labor market data YTD, this supports higher yields

Three-month moving average of nonfarm payroll growth (lhs, '000s) versus continuing jobless claims (rhs, '000s)



Source: BLS, Department of Labor

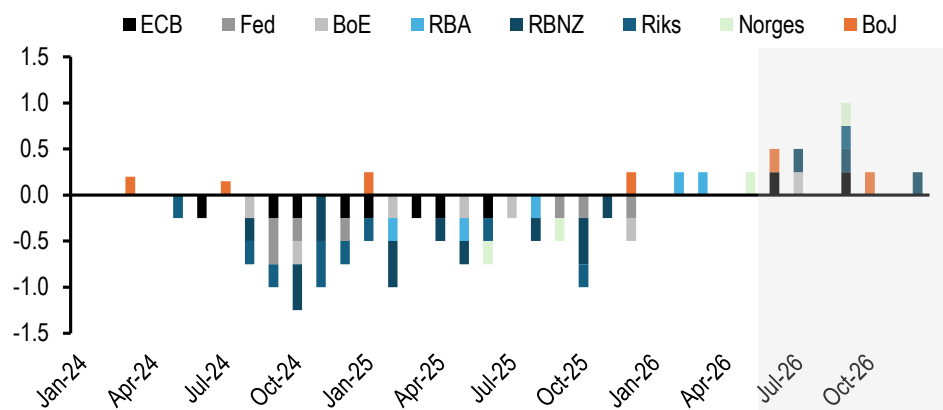
Furthermore, the cyclical pickup in labor demand that our economics team has expected for some time has come earlier than we had forecast. Nonfarm payrolls have averaged 114k in monthly gains YTD after averaging -7k in 2H25, while continuing claims have steadily declined, now sitting nearly 10% off their peak in 4Q25 (**Figure 5**). We project nonfarm

payrolls to average 100k/month in 2H26, but expect the unemployment rate to move only 0.2%-pts lower over the period. **Should the household survey catch up with the firming in payroll demand observed in recent months, this would support the money markets retaining its current hawkish pricing, particularly because the evolution of growth and labor markets in recent quarters suggest policy is actually not restrictive.**

Beyond the Fed's reaction function, we believe global factors have now become a bigger headwind for strongly positive Treasury returns. However, the global policy environment has turned less supportive for government bond markets globally, as most other central banks across the DM went on hold in late-2025. Looking ahead, we expect over 200bp of tightening over the balance of 2026 from the central banks we cover (**Figure 6**). **Although this is largely priced into money markets, central banks which lean hawkish could act to keep yields across the DM and in the US buoyed at higher levels than prevailed pre-conflict.**

Figure 6: We expect DM central banks to raise rates by over 200bp over the balance of 2026, which is likely to keep yields anchored at higher levels than prevailed pre-conflict...

DM central bank policy rate changes by month, with forecasts through December 2026; %

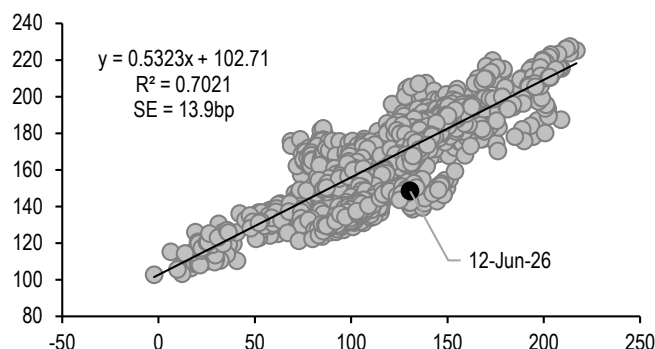


Source: J.P. Morgan

This matters, because Treasuries look relatively unattractive compared to other DM government bonds: Figure 7 shows the Treasury/Bund spread appears significantly too tight after adjusting for relative monetary policy expectations over the last 5 years. For this reason, alongside relatively attractive European valuations, we remain underweight 10-year Treasuries versus German bunds (see [Euro Cash](#), *Global Fixed Income Markets Weekly*, 6/5/26). Meanwhile, for foreign investors funded in local currency, they give up yield by selling their home jurisdiction government bonds, using those proceeds to buy Treasuries, and hedging the currency exposure on a rolling-short term basis (Figure 8). This latter point is meaningful: a decade ago, low government bond yields in the Euro area and Japan, driven by negative interest rate policy (NIRP) and QE, helped anchor Treasury yields at lower levels, as they had appeared attractive on a currency-hedged basis. With policy yields rising across the DM and local government bonds more attractive to foreign private investors, we think this will act to anchor Treasury yields at higher levels. Given rich relative valuations, this argues that Treasury yields could rise further from current levels.

Figure 7: ...and Treasuries remain rich to bunds and most other DM government bonds after controlling for this dynamic...

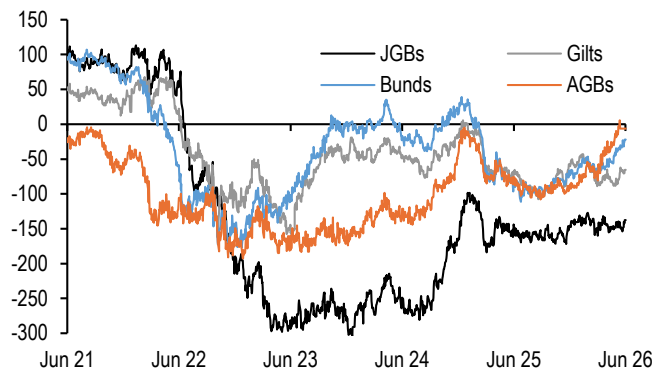
10-year Treasury/German bund spread regressed on 1y1y USD/EUR OIS spread (bp), regression over the last 5 years; bp



Source: J.P. Morgan

Figure 8: ...Treasuries remain relatively unattractive versus local government bonds for foreign investors funded in local currency

Yield pickup from selling 10-year JGBs, Gilts, Bunds, or AGBs and buying 10-year Treasuries, adjusted for 3-month FX hedge; bp



Source: J.P. Morgan

Given the factors described above, we continue to forecast modestly higher yields over the balance of 2026 (**Figure 9**). **We project 2- and 10-year yields will trade around 4.20% and 4.70%, respectively, at YE26.** Given the negative directionality we tend to observe between front-end yields and the slope of the curve, it may seem inconsistent that we are projecting 2s/10s will steepen modestly over our forecast horizon curve over, but that is intentional: with intermediate Treasuries flagging as rich in our domestic fair-value framework and relative to DM peers, these forecasts assume some mean reversion will take place in the coming quarters.

Although this is our base case view, we recognize there are two-sided risks, and we introduce a scenario analysis in **Figure 10**. On one hand, a sustained closure of the Strait of Hormuz could lead to a non-linear spike in energy prices, driving Brent toward \$150bbl. We think the Fed would regain a dovish bias in the face of a more significant slowdown, but the likelihood of such an outcome seems to be diminished given developments in recent days. Alternatively, upside risks stem from a more hawkish Fed reaction function if the labor market tightens more rapidly than we expect. In the downside scenario, we assume markets will price in close to 75bp of easing, in line with the dovish pricing that prevailed prior to the outbreak of the Middle East conflict, and in the upside, we assume markets will price in 60bp of tightening, or 20bp more than currently priced. **We apply recent sensitivity to changes in 1y1y OIS to derive yields across the curve, and this would imply that 10-year yields could decline to 4.20% in our downside scenario, and rise to 4.80% in our upside risk scenario.**

We have spent little time to date talking about the midterm elections and their potential impact on the Treasury market. Prediction markets imply the Democrats will gain a small majority in the House, while Republicans will maintain control of the Senate. As we discuss in the *Cross Sector Overview*, there has been no discernible trend in Treasury yields under similar midterm outcomes historically, and Congressional gridlock should have little impact on Treasuries this year. However, should Republicans maintain control of the House, there is some risk of increased defense spending, particularly given the President's aspirational \$1.5tn proposed defense spending budget for FY27. This could renew fiscal concerns, pushing intermediate yields higher as markets price in higher term premium.

Figure 9: Our forecasts incorporate a modest further increase in yields, with the intermediate sector underperforming

J.P. Morgan interest rate forecast; %

	Actual 12-Jun-26	2Q26 30-Jun-26	3Q26 30-Sep-26	4Q26 31-Dec-26	1Q27 31-Mar-27	2Q27 30-Jun-27
Rates (%)						
Effective funds rate	3.62	3.62	3.62	3.62	3.62	3.62
SOFR	3.60	3.60	3.60	3.60	3.60	3.65
2-yr Treasury	4.08	4.15	4.15	4.20	4.20	4.30
3-yr Treasury	4.13	4.20	4.20	4.25	4.25	4.35
5-yr Treasury	4.21	4.30	4.40	4.45	4.50	4.50
7-yr Treasury	4.34	4.40	4.45	4.55	4.65	4.65
10-yr Treasury	4.48	4.55	4.65	4.70	4.75	4.75
20-yr Treasury	4.98	5.05	5.15	5.20	5.25	5.25
30-yr Treasury	4.97	5.00	5.10	5.15	5.15	5.15

Source: J.P. Morgan

Figure 10: A more protracted energy shock which has a growth negative impact could lead markets to price in a dovish Fed, while tightening labor markets could lead markets to price in a more hawkish path for the Fed

J.P. Morgan YE26 interest rate forecast with downside and upside risks*; %

Tenor	Baseline	Downside	Upside
2y	4.20	3.50	4.45
5y	4.45	3.60	4.55
10y	4.70	4.20	4.80
30y	5.15	4.85	5.15
Yield curve			
2s/5s	25	10	10
2s/10s	50	70	35
10s/30s	45	65	35

* Downside scenario assumes 1y1y OIS rates decline to 3.00%, upside risk assumes 1y1y OIS rates rise to 4.25%. Treasury yield projections in scenario analysis are derived from the observed sensitivity to changes in 1y1y OIS over the last 2 years

Source: J.P. Morgan

Meanwhile, the Treasury curve has retraced to its flattest levels in over a year, also driven by the hawkish shift in Fed policy expectations. When we look at various narrow and broad curve relationships through the lens of our fair-value framework, we find that most curve pairs appear somewhat steep after controlling for 1y1y OIS, 5y5y TIPS breakevens, the Fed's balance sheet as a share of GDP, and our trade policy uncertainty variable, using a sample over the last 5 years (**Figure 11**). Accordingly, combining the modest bearish bias conveyed in our interest rate forecasts, rich valuations versus other DM government bond markets, and the output of our curve models, we think flatteners offer better value than out-right duration shorts. **Along the curve, we recommend 10s/30s flatteners as this curve appears 14bp steep after adjusting for its fundamental drivers, a divergence of nearly 2 standard deviations (see Trade recommendations).**

Figure 11: Most yield curve pairs appear steep after controlling for their fundamental drivers, with 2s/30s and 10s/30s displaying the largest divergences

Current levels for various Treasury curves, with 5-year statistics and regression statistics from curve fair-value models* with current residuals and z-scores;

Curve	Last	Min	Max	Avg	%	R ²	1y1y OIS	5y5y BE	Tariff dummy	Fed Balance Sheet	Current residual	Current Z-score	3m C+R
2s/5s	13	-78	78	-5	67%	71%	-0.32	0.75	0.07	-0.02	31.1	1.5	3.3
2s/10s	40	-109	136	9	62%	82%	-0.52	0.93	0.14	-0.05	37.2	1.5	4.0
2s/30s	89	-119	203	40	64%	87%	-0.67	0.84	0.26	-0.08	51.5	1.9	5.7
3s/7s	21	-55	88	8	62%	86%	-0.29	0.46	0.05	-0.03	14.9	1.3	0.3
5s/10s	27	-36	71	14	67%	93%	-0.20	0.18	0.07	-0.03	6.1	1.0	0.7
5s/20s	77	-23	133	54	68%	90%	-0.27	-0.02	0.19	-0.04	17.0	1.6	0.8
5s/30s	76	-46	141	45	69%	93%	-0.35	0.09	0.20	-0.06	20.3	1.7	2.4
7s/10s	14	-21	31	6	69%	95%	-0.09	0.08	0.05	-0.02	2.5	0.9	0.8
10s/20s	50	13	65	40	72%	71%	-0.07	-0.20	0.12	-0.01	11.0	1.6	0.1
10s/30s	49	-18	70	31	72%	87%	-0.15	-0.09	0.12	-0.02	14.2	1.9	1.7
20s/30s	-1	-32	11	-9	74%	90%	-0.08	0.11	0.00	-0.02	3.3	1.1	1.6

*5-year regression of various Treasury curves on 1y1y OIS rates (%), 5y5y TIPS seasonally-adjusted breakevens (%), tariff dummy for trade uncertainty that turns 1 between 4/2/25 and 2/26/26, and Fed balance sheet size relative to GDP (%)

Source: J.P. Morgan

Treasury supply in 2H26

We have made only modest revisions to our deficit forecasts since we published our *2026 Outlook*. Notably, we revised our projections wider after the Supreme Court struck down the use of IEEPA for broad tariffs in February, and as CBP began to issue refund payments for the \$166bn of tariff revenue collected under IEEPA. **Refunds have been issued modestly faster than we anticipated, and we now expect \$75bn in refunds in FY26, with a further \$50bn paid out in FY27.** In the absence of IEEPA, tariff revenue has declined as observed tariff rates have fallen; while the administration has employed a mix of tariffs under Section 301 and Section 232 to replace this revenue, we do not expect the new schedule to fully replicate the IEEPA tariff revenue right away (see [Focus: Tariffs back in focus as Section 122 expiry nears](#), Nora Szentivanyi, 6/9/26). Accordingly, we continue to forecast tariff revenue totaling \$325bn in FY26 before increasing to \$400bn in FY27.

Net of these factors, we now expect a deficit of \$2.020tn in FY26 and \$1.960tn in FY27, versus \$1.955tn and \$2.050tn, respectively, at the start of the year. Incorporating these changes, we project \$2.108tn in net privately-held borrowing in CY26, and \$2.045tn in CY27. **Net of Fed purchases and buybacks, this translates to a \$410bn change in privately-held bills and \$1.293tn in net privately-held coupon issuance (Figure 12).**

Figure 12: We forecast \$2.108tn total in net privately-held borrowing in 2026 and \$2.045tn in 2027

J.P. Morgan projection of net privately-held borrowing, Treasury buybacks, Federal Reserve purchases of Treasuries, and expected change in Treasuries held by private investors; \$bn

Year	Total net privately-held borrowing	Buybacks	Fed secondary market purchases		Net change in privately-held debt outstanding	
			Bills	Coupons	Bills	Coupons
CY 2020	4301	0	157	2184	2390	-432
CY 2021	1607	0	0	938	-1195	1961
CY 2022	1681	0	0	99	-37	1539
CY 2023	3122	0	0	0	2047	1107
CY 2024	2422	85	0	0	538	1823
CY 2025	2105	195	38	0	322	1719
CY 2026	2108	240	410	0	410	1293
CY 2027	2045	240	300	0	326	1419

Source: US Treasury, J.P. Morgan

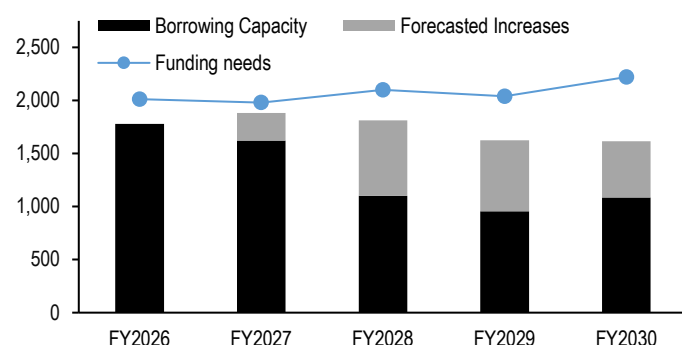
Under the current auction schedule, Treasury remains well funded in FY26, though larger gaps emerge in FY27 and beyond as maturities are set to pick up (**Figure 13**). Both Treasury and TBAC have acknowledged that the next step will be increases to coupon auction sizes sometime in FY27, and we have long expected that in service of that trajectory, Treasury will need to remove “at least” from the long-standing forward guidance that it “anticipates maintaining nominal coupon and FRN auction sizes for at least the next several quarters.” We had expected Treasury to make this change at the May refunding, but instead the guidance language remained unchanged. Notably, the minutes to the May TBAC meeting suggested TBAC also saw a guidance change as prudent, as the Committee “discussed potential changes to the forward guidance for Treasury to consider.”

With Secretary Bessent focused on lowering long-term yields, it is possible Treasury wished to avoid clearly signaling that the time for another round of increases to duration supply is drawing near, as this would likely have had mild bearish implications for long-end Treasuries. **However, given the looming funding gap, we still see a change in the guidance language as likely in August, particularly given the signaling from Treasury and TBAC. Thus, this delay in the incremental change in May raises the likelihood that a wholesale change to the forward guidance language at the August refunding will be necessary.**

However, we would be remiss if we did not consider that political dynamics are likely still at play. If there were political considerations for leaving guidance unchanged in May, those pressures will, if anything, be even stronger in the upcoming refundings, given that the August refunding falls just 3 months before the midterms, and the November refunding falls the day after. **We therefore see an increased risk that Treasury will continue to leave the guidance unchanged.** Looking ahead, we maintain our forecast Treasury will leave nominal coupon and FRN auction sizes unchanged until February 2027, at which point increases are likely to be concentrated in the front end to intermediate sectors of the curve. **However, if the forward guidance continues to reflect the “at least the next several quarters” language, this would suggest coupon auction size increases could be pushed later into 2027.**

Figure 13: We see a sizeable funding gap emerging in FY27 and beyond, driven primarily by an increase in maturities

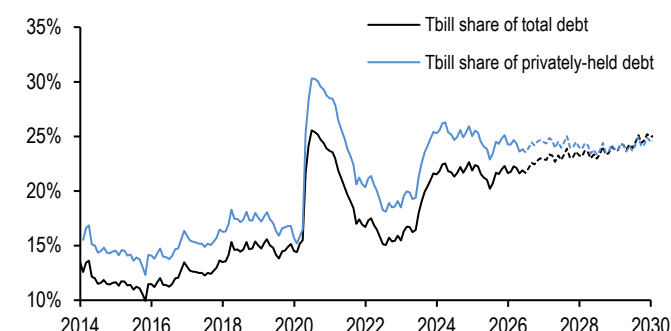
US Treasury net coupon borrowing capacity under unchanged auction schedule* and under J.P. Morgan forecast** versus total funding needs; \$bn



* Incorporates SOMA add-ons from maturities of first-time Fed bill purchases ** Assumes multi-quarter series of increases to 2s through 10s beginning in February 2027
Source: U.S. Treasury, J.P. Morgan

Figure 14: While we project the T-bill share of total debt to rise modestly to 23% by the end of next year, the share of privately-held debt should remain relatively stable

T-bill share of total debt vs. share of privately-held debt, including J.P. Morgan forecasts*; %



* J.P. Morgan forecasts reflect a multi-quarter series of nominal coupon auction size increases beginning in February 2027 concentrated in 2s through 10s, while 20s and 30s are left unchanged (see [US Treasury Market Daily](#), 1/23/26 for details), and assume RMPs at a pace of \$10bn/mo
Source: J.P. Morgan

Delaying coupon auction size increases would naturally mean increasing Treasury’s reliance on T-bill issuance to fill the gap. Even if our projections for coupon size increases in February ultimately materialize, we still expect the T-bill share of marketable debt to migrate higher—reaching 23% by early 2027 and continuing to head higher in subsequent years. Earlier this year, TBAC was asked to consider whether Treasury should also take into account the T-bill share of privately-held debt, which currently sits somewhat higher than the T-bill share of total debt outstanding, at 23.8%. **Incorporating an average pace of \$10bn/month in Fed RMPs going forward, alongside continued reinvestment of MBS paydowns into T-bills, we see the privately-held bill share as staying relatively stable over the next two years, and converging with the total bill share in late 2028 (Figure 14).**

Turning to more structural developments in debt management, Treasury recently tasked TBAC with exploring the concept of reinvesting excess cash into the overnight Treasury repo market, and we have since received a number of questions on the potential for implementation of such a program. Treasury tends to move deliberately when considering these types of changes. For example, there was a two-year period between the first charge question discussing FRNs in 2012 and the official introduction of the 2-year FRN in 2014. Similarly, the current cash balance policy for the TGA took a year between first review by TBAC and official implementation. So, although the Treasury may decide to further explore this

option, we would not expect to see this in action any time soon. We have received similar questions on the changes to the issuance schedule for 7-year notes, and we again would expect Treasury to give the market time to digest any changes before going ahead.

Treasury demand in 2H26

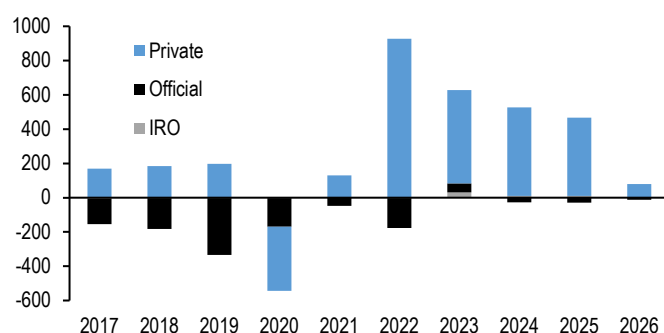
Our *2026 Outlook* forecast an improved supply/demand dynamic, driven both by a slower pace of Treasury net issuance and an improved demand backdrop. We argued that bank demand should remain firm, supported by deposit growth and still-cheap intermediate Treasuries on asset-swap, while mutual fund demand would likely remain steady, supported by attractive intermediate yields and a reasserted negative stock/bond correlation. We also forecast a shift in foreign demand from private to official investors as the pace of reserve accumulation firms. Finally, we expected LDI demand to hold steady, but at a slower pace compared with 2023-2024, as most DB plans had a healthy surplus and their fixed-income allocations remained elevated. Using this as a starting point, we evaluate the evolution of demand and adjust our projections for 2H26 to reflect shifting demand dynamics.

Fed: The Fed's T-bill purchases have slowed dramatically since late-2025 as reserves have moved firmly into ample territory, and we assume the pace of these reserve management purchases will remain steady at \$10bn/month through year-end. There is downside risk to this forecast: as our colleagues in short-term fixed income strategy point out, TGCR is now persistently trading 5-10bp below IORB, back to where it was last summer before frictions appeared. Moreover, it's likely that once the Fed and other regulatory partners complete Basel III endgame and GSIB reform, that they will move to LCR and ILST, resulting at some point in reduced bank demand for reserves. Meanwhile, we expect the pace of MBS pay-downs into T-bills to remain relatively steady at \$15bn/month.

Foreign investors: Foreign demand is running at the slowest pace since 2021, as official investors turned net sellers in March, following the outbreak of the conflict in the Middle East and the subsequent rise in the US dollar (**Figure 15**). Moreover, demand continues to shorten along the curve: **Figure 16** shows that the T-bill share of foreign official Treasury holdings has nearly doubled over the last 3 years, to the highest share since 2011. Looking ahead, the US economy's resilience and Fed's shifting risk bias indicate official demand is unlikely to firm materially. **Meanwhile, in light of more attractive valuations in home jurisdiction government bonds, we expect private demand to remain weak. Accordingly, we have reduced our 2026 foreign demand forecast from \$500bn to \$450bn.**

Figure 15: Foreign demand has slowed, driven by foreign official selling...

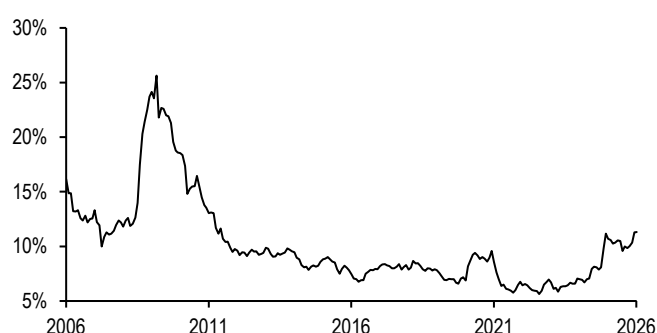
Annual net purchases of Treasuries by foreign investors*; \$bn



*2026 through March
Source: Treasury International Capital System

Figure 16: ...and has been shifting shorter in duration

Foreign official investor T-bill share of Treasury holdings; %

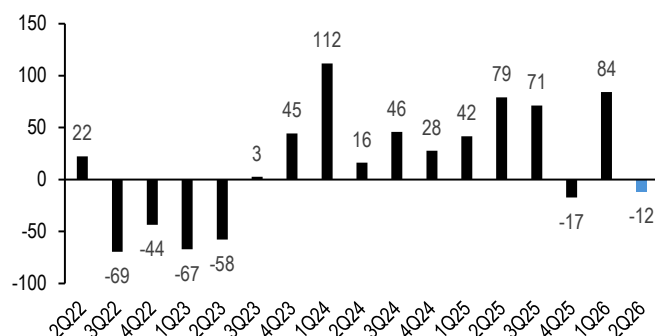


Source: Treasury International Capital System

Commercial banks: We projected a firm \$275bn in demand for Treasuries from the commercial bank community in 2026 amid ongoing deposit growth, stabilization in reserves, and attractive asset swap valuations. However, bank holdings of Treasuries have risen by only \$72bn YTD, the slowest pace since 2023 (**Figure 17**). Going forward, we think bank demand for Treasuries should remain muted. With loan growth firming alongside unattractive valuations, banks may prefer to deploy cash outside of Treasuries. **As a result, we lower our bank demand forecast from \$275bn to \$150bn.**

Figure 17: Commercial bank demand for Treasuries has waned in recent quarters

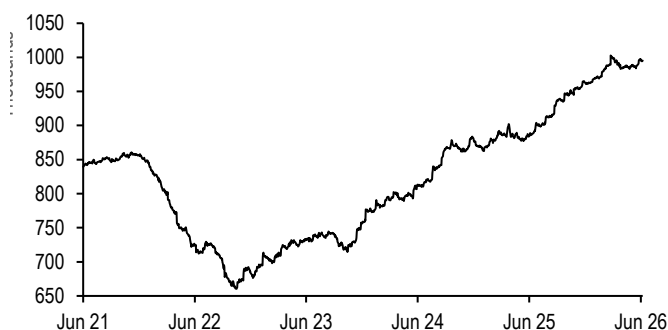
Quarterly change in commercial bank holdings of non-MBS Treasury and agency securities*; \$bn



*2Q26 through 5/27/26
Source: Federal Reserve

Figure 18: Bond fund AUM continues to rise steadily, and with yields anchored near their highs, this should support firm demand through YE26

J.P. Morgan core bond fund AUM*; \$bn



* The core bond fund index is comprised of the 25 largest (by assets under management) actively-managed US core bond funds ** Model is a 3-month regression of daily excess returns on the bond fund index versus daily changes in 1) 10-year Treasury yields, 2) 5s/30s Treasury curve, 3) JULI spread to Treasury, 4) MBS current coupon Treasury OAS, and 5) 3Mx10Y swaption volatility
Source: Bloomberg Finance L.P., J.P. Morgan.

Outside of these major constituents, the AUM of our core bond fund index (the top 25 actively managed core bond funds by AUM) has risen about 3% YTD, and we would expect yields near their cycle highs will keep inflows strong (**Figure 18**). We also maintain our LDI demand forecast, even though stripping demand accelerated sharply in May, as our recent work suggests that this demand may be more idiosyncratic rather than representative of a behavioral shift. We sum up our constituent demand forecasts in **Figure 19**. If our projections become reality, other investors will need to absorb \$543bn in additional Treasury supply. **This supports our thesis that with Treasury market ownership continuing to shift toward more price-sensitive investors, alongside a Fed on hold, this should help keep intermediate and long-end yields anchored at somewhat higher levels through the remainder of this year.**

Figure 19: We revise foreign and bank demand projections lower, modestly raise our bond fund projection, and the ongoing shift toward price-sensitive investors is likely to keep yields buoyed

Annual net issuance of Treasuries versus purchases by investor types; \$bn

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
UST net issuance; \$bn	557	1134	1068	4301	1607	1353	2434	1974	2425	2428
Investor										
Foreign Investors	308	120	298	67	606	393	594	609	509	450
Commercial banks	-43	87	126	328	449	9	-83	194	179	150
Pension/Insurance**	151	57	6	13	179	-8	143	226	183	150
Broker dealers	17	132	-47	-9	-104	85	121	130	71	100
Mutual funds/ETFs	186	121	187	24	410	127	101	211	259	225
Money market funds	-95	189	178	1343	-651	-751	1236	725	250	400
Fed	-9	-214	60	2388	963	-594	-720	-475	-100	410
Demand gap***	41	640	262	146	-244	2091	1042	354	1075	543

* J.P. Morgan estimates

** Includes private and state pension funds, life and property/casualty insurance companies

*** Positive number means supply exceeds estimated demand

Source: J.P. Morgan, Federal Reserve

Trade recommendations

• Initiate 10s/30s flatteners

- Sell 100% risk, or \$63mn notional of T 4.375% May-36s (yield: 4.484%; bpv: \$789/mn)
- Buy 100% risk, or \$32mn notional of T 5.000% May-56s (yield: 4.97%; bpv: \$1554/mn)
- Weighted spread is 48.6bp. One-month weighted carry is -0.1bp and roll is -0.3bp

• Stay short 10-year Treasuries versus 10-year Bunds

- Stay short 100% risk, or \$121.2mn notional of T 4.375% May-36s versus long €100mn DBR 2.90% Feb-36s
- (Trade note: Enter long 10Y Germany vs. US, 6/5/26: P/L since inception: 4.9bp)

• Maintain 2.375% May-51 / 5.0% May-56s curve flatteners

- Stay short 100% risk, or \$25.1mn notional of T 2.375% May-51s
- Stay long 100% risk, or \$16.6mn notional of T 5% May-56s
- (US Fixed Income Markets Weekly, 5/15/26: P/L since inception: -0.5bp)

• Unwind 50:50 weighted 5s/10s/30s belly-cheapening butterflies

- Unwind long 50% risk, or \$27.7mn notional of T 3.625% Oct-30s
- Unwind short 100% risk, or \$31.1mn notional of T 4.25% Aug-35s
- Unwind long 50% risk, or \$7.7mn notional of T 4.75% Aug-55s
- (US Fixed Income Markets Weekly, 10/31/25: P/L since inception: -5.8bp)

Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC
Harry Downie (1-212) 270-9500
harry.j.downie@jpmorgan.com
J.P. Morgan Securities LLC

Liam L Wash (1-212) 834-5230
liam.wash@jpmchase.com
J.P. Morgan Securities LLC
Amanda Berke (1-212) 834-5739
amanda.berke@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy
Treasuries
12 June 2026

J.P.Morgan

Figure 20: Closed trades in the last 12 months

P/L reported in bp of yield unless otherwise indicated

TRADE	ENTRY	EXIT	P/L
Duration			
2-year duration shorts	06/27/25	07/03/25	14.4
3-year duration shorts	08/15/25	08/22/25	-8.1
55% 3-year duration shorts	09/04/25	09/05/25	-4.2
10-year duration short	09/12/25	10/16/25	-8.4
50:50 weighted 2s/5s/10s belly-cheapening butterflies	11/25/25	12/10/25	4.9
2-year duration shorts	02/12/25	03/05/26	13.9
2-year duration longs	03/20/26	04/02/26	9.4
50:50 weighted 2s/5s/10s belly-cheapening butterflies	03/06/26	05/15/26	3.7
2-year duration longs	05/15/26	06/04/26	3.8
Curve			
10s/30s flatteners	06/13/25	07/16/25	-7.1
5s/20s steepeners	07/25/25	11/24/25	0.6
2s/5s flatteners	12/16/25	01/05/26	-2.6
10s/30s flatteners	01/09/26	01/20/26	1.9
5s/20s steepeners	01/28/26	02/06/26	6.2
5s/20s steepeners	02/20/26	03/11/26	0.7
Relative value			
3.25% Jun-27s/1.375% Dec-28s steepeners	04/01/25	07/02/25	-5.8
100% 5s/7s steepeners paired with 60% 10s/30s flatteners	06/27/25	07/17/25	1.5
88:25 weighted 3s/5s/20s belly-cheapening butterflies	05/09/25	08/15/25	-7.9
4.625% Feb-35s/1.125% Aug-40s steepeners	07/25/25	09/04/25	9.2
Short 1.625% Aug-29s / long 3.5% Sep-29s switch	08/14/25	09/09/25	1.6
100% 5s/7s steepeners paired with 42% 10s/30s flatteners	08/06/25	09/19/25	-4.0
53:54 3.25 Jun-27s/4.875 Oct-30s/3.5 Feb-33s belly-cheapening butterflies	07/11/25	10/03/25	1.2
67:37 4.00 Jun-32s/4.25 Aug-35s/4.75 Aug-55s belly-cheapening butterflies	10/03/25	12/19/25	-3.4
50:50 weighted 5s/10s/30s belly-cheapening butterflies	10/31/25	06/12/26	-5.8
Term premium			
64:11 weighted 3s/10s/30s belly-cheapening butterfly	05/02/25	11/24/25	-18.3
Number of positive trades			14
Number of negative trades			11
Hit rate			56%
Aggregate P/L			-2.6

Source: J.P. Morgan

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

Company-Specific Disclosures: Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan’s implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC (“JPMS”) acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC
Harry Downie (1-212) 270-9500
harry.j.downie@jpmorgan.com
J.P. Morgan Securities LLC

Liam L Wash (1-212) 834-5230
liam.wash@jpmchase.com
J.P. Morgan Securities LLC
Amanda Berke (1-212) 834-5739
amanda.berke@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy
Treasuries
12 June 2026

J.P.Morgan

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC
Harry Downie (1-212) 270-9500
harry.j.downie@jpmorgan.com
J.P. Morgan Securities LLC

Liam L Wash (1-212) 834-5230
liam.wash@jpmchase.com
J.P. Morgan Securities LLC
Amanda Berke (1-212) 834-5739
amanda.berke@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy

12 June 2026

J.P.Morgan

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a ‘Research Analyst’ having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpimipl.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpimipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpimipl.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange (“Bolsa Mexicana de Valores”) and the Institutional Stock Exchange (“Bolsa Institucional de Valores”), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission (“Comisión Nacional Bancaria y de Valores”).

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the “Important Disclosures” in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc (“JPMS plc”) which is a member of the London Stock Exchange and is

Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC
Harry Downie (1-212) 270-9500
harry.j.downie@jpmorgan.com
J.P. Morgan Securities LLC

Liam L Wash (1-212) 834-5230
liam.wash@jpmchase.com
J.P. Morgan Securities LLC
Amanda Berke (1-212) 834-5739
amanda.berke@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy
Treasuries
12 June 2026

J.P.Morgan

authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC
Harry Downie (1-212) 270-9500
harry.j.downie@jpmorgan.com
J.P. Morgan Securities LLC

Liam L Wash (1-212) 834-5230
liam.wash@jpmchase.com
J.P. Morgan Securities LLC
Amanda Berke (1-212) 834-5739
amanda.berke@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy

12 June 2026

J.P.Morgan

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised May 16, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 12 Jun 2026 06:12 PM EDT

Disseminated 12 Jun 2026 06:13 PM EDT